

unobjectionable security (*f*); but it has been held that a direction not to "invest" but to "employ" the money, savours of a trading concern (*g*); but the distinction appears too thin to be relied upon with safety.

28. **Loan by way of annuity.**— Upon a marriage the wife's portion was settled upon the intended husband and wife for their respective lives, with remainder to the issue, and a power was given to the trustees to "call in and lay out the money at greater interest if they could." The trustees sold out stock to the amount of 400*l.*, and laid it out in the purchase of an *annuity* for one life, and *insured* the life, and Lord Manners said the purchase of the annuity was not a proper disposition of a trust fund settled as this was (*h*).

29. **Loans upon shares of companies.**— A power to invest "upon *security* of the funds of any company incorporated by Act of Parliament," will not authorise an investment in "Great Northern Preference *shares*," which are not a security upon the property of the company, but a participation in the partnership (*i*).

30. **Debentures.**— A power to lend on the *debentures* of a public company did not; it is conceived, authorise an investment on debenture *stock*, for the settlor in allowing debentures relied on the liability of the company to pay the capital; but in debenture stock the dividend only can be recovered, and there are no means of realizing the capital but by transfer, and the value in the market may have greatly *sunk. Debenture bonds are a tempo- [*320] rary loan, but debenture stock is perpetual.

34 **Vict. c. 27.**— But by 34 Vict. c. 27, (29 June, 1871), it was enacted that where power had been before the passing of the Act or should at any time thereafter be given to trustees to invest in the mortgages or bonds of a railway or other company, such power should, unless the contrary be expressed in the instrument, be deemed to include a power to invest in the *debenture stock* of a railway or other com-

(*f*) *Dickinson v. Player*, C. P. Cooper's Cases, 1837–8, 178.

(*g*) S. C.

(*h*) *Fitzgerald v. Pringle*, 2 Moll. 534.

(*i*) *Harris v. Harris*, No. 1, 29 Beav. 107.